भारतीय लेखा तथा लेखापरीक्षा विभाग
INDIAN AUDIT AND ACCOUNTS DEPARTMENT
महानिदेशक लेखापरीक्षा (केंद्रीय) का कार्यालय, चेन्नै
Office of the Director General of Audit (Central), Chennai
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सत्यमेव जयते

SUPREME AUDIT INSTITUTION OF INDIA
लोकहितार्थ सत्यनिष्ठा
Dedicated to Truth in Public Interest

No. CRA/G/SAR/9-7/CSEZA/2025-26/19 Dated 29 October 2025

सेवा में /To
भारत सरकार के सचिव /The Secretary to Government of India,
वाणिज्य एवं उद्योग मंत्रालय/Ministry of Commerce and Industry,
वाणिज्य विभाग/Department of Commerce,
भारत सरकार/Government of India
नई दिल्ली /New Delhi – 110 001.

महोदय/Sir,

Sub:- Separate Audit Report on the accounts of Cochin Special Economic Zone Authority, for the year ended 31 March 2025.

Separate Audit Report on the accounts of Cochin Special Economic Zone Authority, for the year ended 31 March 2025 is forwarded herewith. Replies to the Draft SAR from the Authority were taken into account while finalising the Separate Audit Report.

Receipt of the letter with enclosures may please be acknowledged.

भवदीय /Yours faithfully,

Sd/-
महा निदेशक लेखापरीक्षा (केंद्रीय) चेन्नै
Director General of Audit (Central)

अनुलग्नक /Encl: Separate Audit Report and certified accounts.
प्रतिलिपि अग्रेषित /Copy forwarded to:

The Chairperson, Cochin Special Economic Zone Authority with copy of Separate Audit Report for the year ended 31 March 2025 for necessary action.

महा निदेशक लेखापरीक्षा (केंद्रीय) चेन्नै
Director General of Audit (Central)

दूरभाष/Telephone: 0484-2400203 फैक्स/Fax: 0484-2401895 ई-मेल/e-mail: dgacbrkochi@cag.gov.in

Separate Audit Report on the Accounts of the Cochin Special Economic Zone Authority (CSEZA), Kakkanad for the year ended 31st March 2025

Opinion

We have audited the financial statements of Cochin Special Economic Zone Authority (CSEZA), which comprise the statement of financial position as at 31 March 2025 and the Income & Expenditure Account for the year then ended, and notes to the financial statements, including a summary of significant accounting policies under Section 19(2) of the Comptroller & Auditor General's (Duties, Powers & Conditions of Service) Act, 1971 read with Section 37 (2) of the Special Economic Zones Act, 2005.

This Audit Report contains the comments of the Comptroller & Auditor General of India (CAG) on the accounting treatment only with regard to classification, conformity with the best accounting practices, accounting standards, disclosure norms, etc. Audit observations on financial transactions regarding compliance with the Law, Rules and Regulations (Propriety & Regularity) and efficiency cum performance aspects, etc., if any, are reported through inspection reports/ CAG's audit reports separately.

In our opinion the accompanying financial statements of Cochin Special Economic Zone Authority, read together with the accounting policies and Notes thereon and matters mentioned in the Separate Audit Report, which follows, give a true and fair view of the financial position of the autonomous body as at March 31, 2025, and its financial performance and its cash flows for the year then ended in accordance with uniform format of accounts/accounting standards generally accepted in India.

Basis for Opinion

We conducted our audit in accordance with the CAG's auditing regulations/standards/manuals/ guidelines/guidance-notes/orders/circulars etc. Our responsibilities are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the autonomous body in accordance with ethical requirements that are relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter

The Trade Receivables includes receivables outstanding for more than 3 years ₹ 4.16 crore, of which ₹ 1.89 crore are outstanding from closed units. The aggregate receivables from closed units as on March 31, 2025, amounts to ₹ 2.56 crores. However, the CSEZA has not formulated a policy to categorize these receivables as good, doubtful and bad. Accordingly, the bad debts, if any, included in these receivables is not quantified and provided.

We are not modifying the opinion as a result of the matter.

Responsibilities of Management for the financial statements

The Cochin Special Economic Zone Authority (CSEZA) is responsible for the preparation and fair presentation of the financial statements in accordance with uniform format of accounts/accounting standards generally accepted in India, and for internal control as management determines it necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion in accordance with CAG's auditing regulations /standards/ manuals/ guidelines/ guidance-notes/ orders/ circulars etc.

For and on behalf of the C& AG of India

Director General of Audit (Central)

Place: Kochi

Date: 29-10-2025

A. BALANCE SHEET

A.1 Schedule 4 – Current Liabilities and Provisions – ₹ 14.64 crore

(i) Advances received from units were understated by ₹ 41.20 lakh due to deduction of trade receivables from advances received, instead of presenting the trade receivables separately. Consequently Trade receivables were understated by a similar amount.

CSEZA accepted the Audit Observation and stated that presentation error will be corrected in the next FY.

(ii) Statutory liabilities were understated by ₹ 3.76 lakh due to incorrect classification of statutory liabilities under other liabilities and consequently other liabilities were correspondingly overstated.

CSEZA accepted the Audit Observation and stated that presentation error will be corrected in the next FY.

(iii) Statutory liabilities were understated by ₹ 3.02 lakh due to incorrect classification of TDS payable and consequently Trade and expense payables were overstated by a similar amount.

CSEZA accepted the Audit Observation and noted it for compliance.

(iv) Expenses payable were understated by ₹ 3.22 lakh due to non-recognition of Sludge removal charges payable with a consequent understatement of CETP sludge removal charges under Schedule 10 – Establishment expenses by similar amount.

CSEZA accepted the audit observation and noted it for future compliance.

A.2 – Schedule 5 – Fixed Assets – ₹ 85.76 crore

Written Down Value (WDV) of the asset - Standard Design Factory (SDF) plot no. 3 was overstated by ₹ 0.54 lakhs due to non-recognition of depreciation from the date from which the asset was available for use. Consequently, Depreciation for the current year was understated by ₹ 0.26 lakhs and prior period depreciation was understated by ₹ 0.28 lakhs

CSEZA accepted the observation and stated that necessary corrections will be made in the next FY to rectify the error of understatement of depreciation.

A3.1 – Schedule 6 - Current Assets, Loans, Advances - ₹ 262.22 crore

(i) Trade Receivables were understated by ₹ 0.19 lakh due to recognition of incorrect amount as TDS receivable with a corresponding overstatement of TDS receivable.

CSEZA accepted the Audit Observation and replied that necessary correction will be carried out in the FY 2025-26.

(ii) A Fixed Deposit of ₹ 0.71 lakh given as security to Thrikkakara Municipality was misclassified under "Other Current Assets" instead of "Cash and Bank Balances," leading to understatement of the latter and overstatement of the former by ₹ 0.71 lakh. Additionally, accrued interest of ₹0.05 lakhs was not recognized, further understating Other Current Assets.

CSEZA accepted the Audit Observation and replied that necessary correction shall be made in the FY 2025-26.

Trade Receivables ₹ 17.56 crore

Trade Receivables include ₹ 4.16 crore outstanding for over 3 years, with ₹ 2.56 crore from closed units. CSEZA lacks a policy to classify receivables as good, doubtful, or bad, leading to possible overstatement. Audit did not quantify doubtful debts, as this is management's responsibility.

CSEZA replied that as pointed out in Audit Observation, a policy shall be formulated to categorize the receivables as good, doubtful and bad debts and that steps have been initiated for the recovery of arrears.

CSEZA had provided a similar reply last year in response to an Audit Observation, but failed to implement the proposed actions.

B. INCOME AND EXPENDITURE ACCOUNT

B.1 Schedule 7 – Income from Services – ₹ 81.68 crore

(i) Lease Rent was understated by ₹ 42.39 lakh due to non-recognition of Lease rent income in the books of accounts even though invoices were issued to the units. This has also resulted in consequential understatement of Trade Receivables by a similar amount.

CSEZA accepted the Audit Observation and replied that necessary entries will be passed in the next financial year 2025-26 as prior period income.

(ii) Lease Rent SDFs (SDF and MSDF) were understated by ₹ 16.25 lakh due to incorrect classification of Lease Rent SDF under Lease Rent Land and consequently Lease Rent Land was correspondingly overstated.

CSEZA accepted the audit observation, noting it as a head-of-income error and assured future correction.

(iii) Lease Rent was understated by ₹ 0.45 lakh as lease pertaining to the current year, received as advance during the previous year, was incorrectly accounted as lease rent income of the previous year. Consequently prior period income was overstated by a similar amount.

CSEZA accepted the audit observation and noted it for future compliance.

(iv) Lease Rent and Arrear Rent was overstated by ₹ 32.01 lakh due to incorrectly recognizing income pertaining to previous years as income of the current year. Consequently prior period income was understated by a similar amount.

CSEZA accepted the audit observation, noting prior-year income was wrongly booked in the current year, and assured correct treatment from FY 2025–26.

B.2 - Schedule 8 - Interest Earned – ₹ 16.69 crore

(i) Penal Interest on SDF, MSDF and Land was understated by ₹ 1.13 lakh due to non-recognition of penal interest. Consequently Trade Receivables was also understated by a similar amount.

CSEZA accepted the Audit Observation and replied that necessary entries will be passed in the next FY 2025-26.

(ii) Interest accrued on Fixed Deposit with State Bank of India as per confirmation is ₹ 273.19 lakhs whereas the balance as per books of accounts is ₹ 277.09 lakh. Therefore, interest income from Fixed Deposits was overstated by ₹ 3.89 lakh with a consequential overstatement of Current Assets by a similar amount.

CSEZA replied that the accounts were finalized without obtaining confirmation from the Banks and that in future confirmation would be obtained from Bank prior to finalisation of accounts.

B.3 - Schedule 10 - Establishment expenses - ₹ 58.98 crore

License fee was overstated by ₹ 0.28 lakh due to incorrectly recognizing advance amount paid towards License fee as expenses of the current year. Consequently 'Prepaid expenses' under Current Assets was understated by a similar amount.

CSEZA accepted the Audit Observation and replied that CSEZA will ensure that correct accounting treatment is followed from FY 2025-26 onwards.

C- Receipts and Payments Account

Nil

D – Accounting Policies

D.1 Stock in trade – ₹ 4.51 lakh

CSEZA's inventory valuation policy does not comply with AS 2, which requires valuation at the lower of cost and NRV. Inventories, including old and non-moving items, are disclosed at cost only, without assessing NRV for potential impairment due to obsolescence.

CSEZA accepted the Audit Observation and replied that CSEZA shall take into consideration Accounting Standard (AS) 2 while disclosing the value of inventories/stock in trade in FY 2025-2026.

D.2 Non-disclosure of basis of depreciation on Solar PV Plant

CSEZA charged depreciation on Solar PV Plants acquired before FY 2022–23 using rates from the Kerala State Electricity Regulatory Commission (Renewable Energy) Regulations, 2015, instead of the 2021 Tariff Regulations stated in its accounting policy. This deviation was not disclosed in the Significant Accounting Policies, which was not in consonance with AS 1 requirements for disclosure of significant accounting policies.

CSEZA accepted the Audit Observation and noted it for future compliance.

E- General

CSEZA continued the supply of water services without recovery of dues from the previous financial year in respect of four units. Consequently, the receivables accumulated with a further amount of ₹ 11.57 lakh during the year.
CSEZA accepted the audit observation and stated that units had confirmed immediate clearance of the outstanding amount.

F- Management Letter

G- Assessment of internal Controls

(i) Adequacy of Internal Control System

The Internal control of the CSEZA is inadequate.

We could not ascertain the impact, if any, on the Financial Statements of CSEZA i.e., Balance Sheet, Statement of Income & Expenditure and the related assets, liabilities, income, expenditure and the disclosures including notes to accounts on account of the weaknesses observed in the internal controls as mentioned below:

1. HR Policy

CSEZA lacks a recruitment policy, relying on Development Commissioner's staff with additional duties. No provision exists to allocate their establishment costs to revenue expenditure, overstating income over expenditure.

CSEZA replied that the observation made by the audit has been noted for further reference to Ministry.

The assurance provided last year in response to a similar audit comment has not been complied with.

2. Recognition of Rental Income

Rental income was misclassified due to lack of supervisory checks, leading to errors in accounting under correct heads.

CSEZA has replied that they noted the point and assured supervisory checks will be implemented to ensure correct account classification.

3 Engagement of Consultants and monitoring their performance

No effective departmental mechanism was in place to monitor the performance of the consultants to ensure that the output of the consultants is in line with the Objectives of the Department.

CSEZA accepted the Audit Observation and noted it for compliance.

CSEZA had provided a similar reply last year in response to an Audit comment, but failed to implement the proposed actions.

4 Recognition of Income: Omission to account for certain invoices in the books of accounts.

a. During the verification of sample invoices, it was observed that certain invoices raised were not accounted in the books of accounts.

CSEZA accepted the Audit Observation and replied that those invoices shall be accounted in the financial year 2025-26 as prior period income.

b. CSEZA does not record invoice numbers in Tally when recognizing lease rental income, making reconciliation difficult and increasing the risk of omissions.

This reflects weak internal controls over revenue documentation, affecting financial reporting accuracy.

CSEZA accepted the audit observation and confirmed that invoice numbers would be recorded in Tally from FY 2025–26.

5 Advance received from customers ₹ 2.20 crore

Internal controls over advances for power distribution can be improved by separately recording advances as liabilities and power charges as trade receivables. Currently, both are shown in the same ledger, making it difficult to distinguish amounts due to and from customers.

CSEZA accepted the Audit Observation and replied that the observation has been noted for future compliance.

6 Fixed Assets: WDV ₹ 10.26 crore and depreciation ₹ 0.95 crore

Presently the Fixed Assets register is maintained manually as a physical register, which lacks key details like additions, disposals, and depreciation workings.

CSEZA replied that at present CSEZA is maintaining fixed asset register manually. CSEZA will adopt a suitable mechanism to maintain a system based asset register.

7 Interest on FD - ₹ 1.08 crore

Internal controls should be improved to reconcile fixed deposit interest recorded in the books with deposit amount, rate, tenure, accrued income, and bank confirmations.

CSEZA replied that the interest on fixed deposit was calculated for the purpose of accounting by CSEZA by taking into consideration the number of days. Bank confirmations were not available before the finalization of accounts. In future, interest certificates will be obtained from the Bank prior to finalization of accounts.

8 Security Deposit with KSEB- ₹ 3.20 crore

Internal controls for the ₹ 3.20 crore KSEB security deposit should be strengthened through age-wise analysis and confirmation letters to verify outstanding balances as of 31-03-2025.

CSEZA replied that 'Deposit with Kerala State Electricity Board relates to power supply and is lying with KSEB for a long period, the interest received on the same is being correctly accounted in the books of accounts. CSEZA will take necessary steps to obtain confirmation letter from KSEBL.

(i) Adequacy of Internal Audit System

CSEZA lacks a dedicated Internal Audit Wing and engaged a Chartered Accountant firm on contract for FY 2024–25. The audit system is inadequate for its scale, with major lapses—such as **non-recognition of income,** non-recognition of expense, **non-compliance with GST provisions and delayed TDS deductions** — were omitted from the Internal Audit report.

CSEZA replied that the Internal Auditors appointed will be instructed to verify previous audit observations and conduct audit to avoid any such omissions from their part in future.

(ii) System of physical verification of fixed assets

Physical verification of CSEZA's fixed assets was conducted by a committee of Internal Auditors and the O&M Agency. However, due to the absence of Unique Asset Identification Numbers in the register and on the assets, correlation between recorded and physical assets was not possible. This weakened internal controls over asset existence and hindered assessment of impairment.

CSEZA accepted the audit observation and assured necessary steps will be taken.

(iii) System of physical verification of inventory

Physical verification of Inventories of power distribution, Estate division and IWMS has been conducted by the Internal Auditors.

(iv) Regularity in payment of statutory dues

CSEZA discharged GST on lease rental income only upon receipt, contrary to Section 13(2)(b) of the CGST Act, 2017, resulting in delayed GST payments without applicable interest under Section 50(1). Though CSEZA replied that the procedure of accounting lease rental income was revised to accrual basis from FY 2024–25, but reply did not address the issue of non-payment of interest. Additionally, TDS was deducted at payment instead of at credit or payment, violating Sections 194J, 194C, and 194Q of the Income-tax Act, 1961, with no recognition or payment of interest for delays.

CSEZA accepted the Audit Observation and noted it for compliance.

H- Grant-in-Aid

No Grant-in-Aid was received by the CSEZ Authority during FY 2024-25, and no Grant-in-Aid is pending utilization.

I Lack of Response

The CSEZA had provided responses to all the comments.